

QUARTERLY BRIEF

HISTORICAL EDITION · Historical edition, published on 8 September 2026 using data for Q2 2026.

Tourism & Hospitality Brief

Portugal, Q2 2026: overnight stays +1.2% and total revenue +5.2% year on year.

Growth continued, but more slowly: overnight stays +1.2% and total revenue +5.2%, both below the previous quarter. Residents accelerated to +3.2% while external markets almost stopped, at +0.5%.

Paulo Braga

Hospitality Real Estate Advisor

Portugal | Q2 2026

Historical edition v1.0 - provisional data

EXECUTIVE SUMMARY

The second quarter slowed in volume and in value

MAIN CONCLUSION

Overnight stays grew 1.2% and total revenue 5.2%, with the domestic market generating most of the quarter's increase.

Tourist accommodation recorded 9.4 million guests (+2.3%) and 23.3 million overnight stays (+1.2%) in the quarter. INE notes that the results may have been influenced by the moving calendar, in particular the Easter period.

Total revenue reached EUR 2,140.0 million (+5.2%) and room revenue EUR 1,636.6 million (+4.5%), with ADR at EUR 130.2 (+2.4%) and RevPAR at EUR 81.6 (+0.8%). Within the quarter, overnight stays rose 0.4% in April, 2.5% in May and 0.7% in June: only May had any lift.

Everything kept moving up, but every line lost pace against the start of the year.

KEY INDICATORS

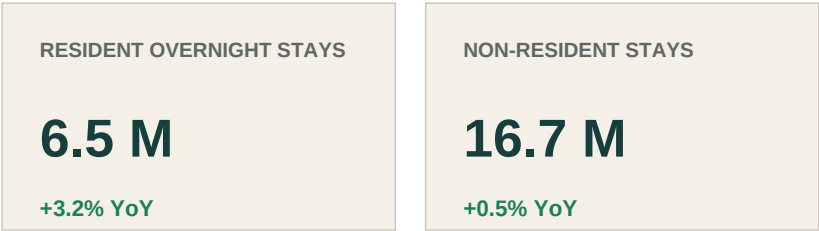
More revenue, with less momentum

GUESTS 9.4 M +2.3% YoY	OVERNIGHT STAYS 23.3 M +1.2% YoY	TOTAL REVENUE EUR 2,140.0 M +5.2% YoY value derived from INE's cumulative figures
ROOM REVENUE EUR 1,636.6 M +4.5% YoY value derived from INE's cumulative figures	REVPAR EUR 81.6 +0.8% YoY	ADR EUR 130.2 +2.4% YoY

Reading: total revenue rose 5.2% and overnight stays 1.2%. ADR gained 2.4% against RevPAR at 0.8%. Rate keeps carrying revenue while occupancy keeps taking away from it.

DEMAND

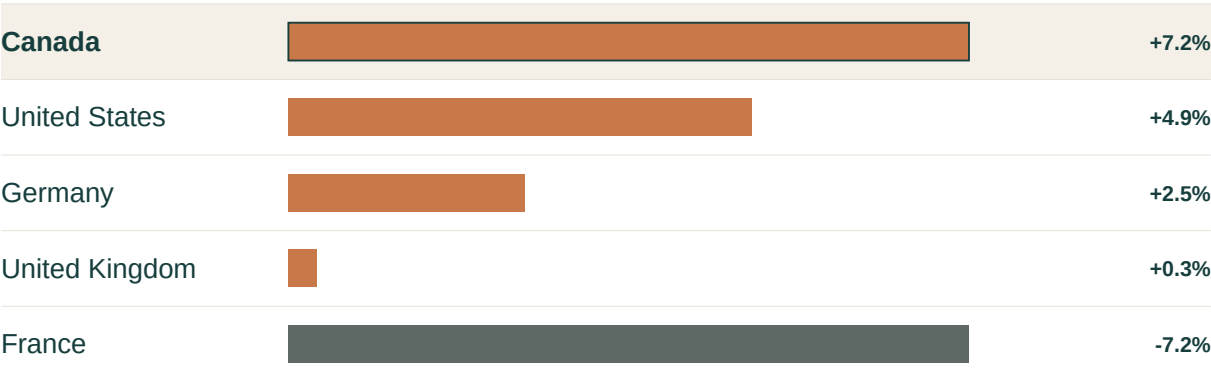
Residents accelerated, the external market stalled



Resident overnight stays increased 3.2% to 6.5 million, accelerating for the first time since the second quarter of the previous year. Non-resident stays grew 0.5% to 16.7 million, still 71.9% of the total. Among the ten largest source markets Canada again recorded the biggest gain (+7.2%) and France the biggest drop (-7.2%), holding the downward path it has followed since the third quarter of 2024. The United States (+4.9%) and Germany (+2.5%) ran ahead of the external markets as a whole; the United Kingdom managed +0.3%.

Change in overnight stays by source market

Q2 2026, year-on-year change



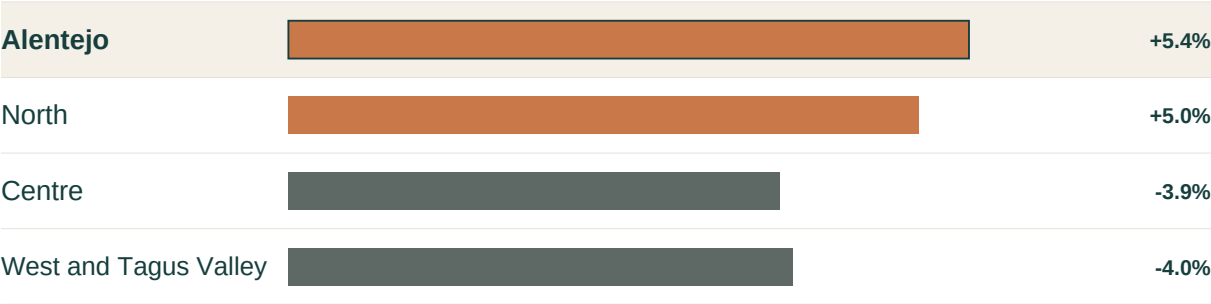
Statistics Portugal, Tourism Activity, Q2 2026.

REGIONS

Alentejo and the North ahead for a second quarter

Change in overnight stays in the regions INE singles out

Q2 2026, year-on-year change



Statistics Portugal, Tourism Activity, Q2 2026.

The largest increases in overnight stays were in Alentejo (+5.4%) and the North (+5.0%). At the other end, the West and Tagus Valley (-4.0%) and the Centre (-3.9%) posted the largest decreases. In the Algarve the three main markets accounted for 50.5% of the region's overnight stays, a concentration that amplifies any slowdown in a single source market.

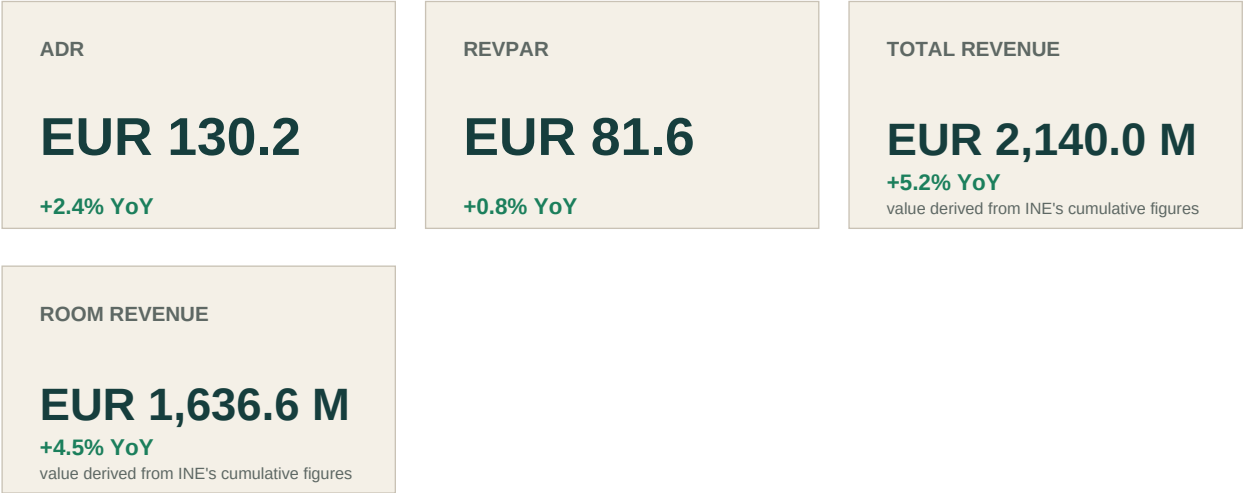
REGION IN FOCUS

The West and Tagus Valley lost 4.0% of its overnight stays, a second consecutive quarter of contraction in the region that was already the weakest in the previous quarter.

OPERATING PERFORMANCE

Rate up, occupancy giving way

Portugal, tourist accommodation establishments.



ADR reached EUR 130.2 (+2.4%) and RevPAR EUR 81.6 (+0.8%). Total revenue came to EUR 2,140.0 million (+5.2%) and room revenue to EUR 1,636.6 million (+4.5%), slower than at the start of the year. INE publishes no quarterly occupancy rates; in each of the quarter's three months net bed occupancy stayed below the year before. Revenue grew on rate, not on volume and not on more beds filled.

REAL ESTATE LENS

A quarter of rate, not of occupancy

FACT

Total revenue +5.2%, overnight stays +1.2%, ADR +2.4% and RevPAR +0.8%.

INTERPRETATION

RevPAR is the indicator that combines rate and occupancy, and it moved least. The rate increase is being paid for with nights sold, and the revenue gain does not correspond to heavier use of the assets. Local accommodation again lost overnight stays, while hotels and rural tourism added them.

IMPLICATION

For those who own or finance assets, the signal is to test where rate breaks. A second quarter with RevPAR rising less than ADR says demand no longer absorbs increases without a cost in occupancy. Assets tied to the French market, to the Centre and to the West and Tagus Valley deserve their own reading, and exposure to local accommodation should be assessed separately from hotels.

OUTLOOK

Three signals to watch in the third quarter of 2026

01	The next quarter carries no Easter effect and will be the year's first clean reading.
02	Whether the acceleration in resident overnight stays survives the high season, when the external market weighs most.
03	Whether non-resident overnight stays pick up speed again or turn negative, after a quarter of near standstill.

SOURCES

Statistics Portugal, Tourism Activity, Q2 2026, released 14 August 2026. Statistics Portugal, Tourism Activity - Flash Estimates, June 2026, released 31 July 2026. Used for the quarter's revenue. Statistics Portugal, Tourism Activity - Flash Estimates, March 2026, released 30 April 2026. Used for the quarter's revenue.

Levels and year-on-year changes from the INE quarterly release of 14 August 2026. Total revenue for the quarter was obtained as the difference between the cumulative figures INE published on 31 July 2026 and 30 April 2026, since the quarterly release of 14 August 2026 prints only a figure rounded to thousand millions of euros. Room revenue for the quarter was obtained as the difference between the cumulative figures INE published on 31 July 2026 and 30 April 2026, since the quarterly release of 14 August 2026 prints only a figure rounded to thousand millions of euros. INE publishes no quarterly occupancy rates.

Paulo Braga

Hospitality Real Estate Advisor